DELHI PUBLIC SCHOOL JANKIPURAM, LUCKNOW

SESSION 2025- 2026: WORKSHEET-1

Subject: Economics (Social Science-087)

Chapter: 3 – Money and Credit

Date: _____ Name: _____ Class / Sec. X _____

Multiple choice questions:

1. What is the primary function of money?
   a) To facilitate trade b) To store value
   c) To provide employment d) To regulate inflation
2. Which of the following institutions provides credit to farmers?
   a) Commercial banks b) Cooperative banks
   c) Regional Rural Banks d) All of the above
3. If the principal amount borrowed is ₹10,000 and the interest rate is 10% per annum, what is the interest paid at the end of 1 year?
   a) ₹1,000 b) ₹1,500 c) ₹2,000 d) ₹2,500. d) ₹18,000
4. Which of the following best explains the double coincidence of wants?
   a) Both parties must agree to buy and sell identical goods
   b) Both parties must agree to exchange goods/services they desire from each other
   c) Both parties must use the same medium of exchange
   d) Both parties must have equal purchasing power
5. Which of the following institutions supervises the formal credit system in India?
   a) Ministry of Finance
   b) Reserve Bank of India
   c) NITI Aayog
   d) State Bank of India

Assertion and reasoning based questions:

A. Both assertion and reason are true and reason is the correct explanation of assertion.
B. Both assertion and reason are true, but reason is not the correct explanation of assertion.
C. Assertion is true, but reason is false.
D. Assertion is false, but reason is true.

1. Assertion: Commercial banks provide credit to traders and businessmen.
   Reason: Commercial banks provide loans for working capital requirements.

2. Assertion: Credit is essential for economic development.
   Reason: Credit accepts deposits and provides loan to individuals and businesses.
3. Assertion: Collateral is required for securing loans.
   Reason: Collateral reduces the lender's risk and ensures repayment.
4. Assertion: Inflation affects the value of money.
   Reason: Inflation increases the purchasing power of money.
5. Assertion: Credit rating affects loan eligibility.
   Reason: Credit rating reflects an individual's or business's creditworthiness.

Very short answer type questions:

1. What is the primary function of commercial banks?
2. What is the main advantage of using cheques?
3. What is the role of RBI in money supply?

Short answer type questions:

1. Explain the concept of money. How does it facilitate trade?
2. Describe the functions of commercial banks.

Long Answer type questions:

1. Explain the concept of collateral. Why is it required for securing loans?
2. What are the differences between formal and informal sources of credit?

Case study:

1. Amit wants to start a small business and needs ₹500,000. He approaches a bank for a loan. The bank agrees to lend him the amount at an interest rate of 12% per annum for 3 years.

   a. What type of credit is Amit seeking?
   b. Calculate the total interest Amit will pay over 3 years.
   c. What factors will the bank consider before lending to Amit?